

THE POLITICS OF INTERNATIONAL ECONOMIC RELATIONS

Departamento de Estudios Internacionales
Instituto Tecnológico Autónomo de México
Primavera 2017

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Horas de Oficina: Martes y Jueves 13:00-14:00

Martes y Jueves
11:30-13:00
Salon 104

The aim of this course is to acquaint students with the foundational theories of international political economy (IPE) and to apply these to the study of some of the principal functions and issues in IPE. In this regard, a core aspect of the course will be to study the relations between political and economic processes and institutions, and notably the relationship between states and markets, in both their domestic and international dimensions. Accordingly, some of the key themes of the course include:

- What is the market and how well does it function?
- Do politics come before economics or vice-versa?
- Does the state remain the most important actor in IPE or is it being superseded by other forces and entities?
- What implications does globalization hold for governments and governance?
- How can states and non-state actors work together to resolve collective action problems?

The course is comprised of roughly two equal parts. In Part I, students will be introduced to the principal ideas and theorists who have shaped the main approaches to understanding the workings of the international political economy, from Adam Smith down to the present. In Part II of the course, we shall build on this theoretical exposition by applying these conceptual approaches to studying the evolution of the global political economy and analyzing salient issues in contemporary IPE.

Requirements: There will be a *five-page* double-spaced take home essay assigned at the end of the “Theories” section (**due on Thursday, March 2**). Additionally, students must submit two *three-page* double-spaced review comments on the readings from two of the “issue area” topics. These should summarize and analyze the supplementary readings (i.e. excluding the chapters from the Balaam and Veseth or Cohn texts) which have been assigned for each session. These review papers are due by the start of the session in which the topic is to be covered. All late assignments will be marked down by a full grade point (i.e. 8 to 7) per day of lateness, unless this is cleared with me first. All papers are to be written in English. Finally, a sit-down final examination will be administered during the exam period. Students must pass this exam in order to pass the course. Final grades will be determined according to the following formula:

Mid-term Essay – 25%
Review Comments – 30% (15% each)
Final Exam – 35%
Participation – 10%

You will notice that class participation accounts for a substantial proportion of the final grade (10%). This means that you will need to come to class having done ALL the readings for each week, and be prepared to discuss them. *In order to encourage student participation, any student who misses more than 5 classes in a semester without a plausible excuse will be automatically docked 10% of his or her final grade, and any who misses over 8 classes will automatically fail the course.*

Finally, you are encouraged to follow scholarly journals that deal with IPE, such as *International Organization*, *World Politics*, or *International Studies Quarterly*, as well as to keep abreast of economically-oriented periodicals, such as the *Financial Times* or *The Economist*. Any student caught cheating or engaging in plagiarism will receive a zero (0%) for the course.

Primary Texts:

- Theodore H. Cohn, *Global Political Economy: Theory and Practice*, 5th edition, New York, Longman, 2010. (selections available on Comunidad ITAM)
- Robert Heilbroner, *The Worldly Philosophers: The Lives, Times, and Ideas of the Great Economic Thinkers*. 6th ed. New York: Simon & Schuster, 1992. (selections in course reader)
- David Balaam and Michael Veseth, *Introduction to International Political Economy*. 4th ed. Upper Saddle River, N.J.: Pearson, 2008. (selections in course reader)

Supplementary texts (available in the library):

- Daniel Yergin and Joseph Stanislaw, *The Commanding Heights: The Battle for the World Economy* (New York: Touchstone, 2002).
- Joan Spero and Jeffrey Hart, *The Politics of International Economic Relations*, sixth edition New York: St. Martin's Press, inc., 2002.
- Jeffry A. Frieden and David A. Lake, eds. *International Political Economy*, fourth edition (New York: St. Martin's Press, inc., 2000)
- Richard Stubbs and Geoffrey Underhill, eds. *Political Economy and the Changing Global Order*, second edition (Don Mills: Oxford University Press, 2000)
- Robert Gilpin, *Global Political Economy: Understanding the International Economic Order*, (Princeton: Princeton University Press, 2001)
- Susan Strange, *States and Markets* (London: Pinter, 1997)

Week I – Introduction to IPE

January 17: Course Overview

January 19: Defining the Subject

-Balaam and Veseth (henceforth B&V), Ch. 1.

Weeks II: Classical Liberalism and Liberal Interventionism

January 24: Adam Smith—The Invisible Hand and the Logic of Infinite Accumulation

-Smith, selections from The Wealth of Nations, in the *The Essential Adam Smith*. ed. R. Heilbroner (NY: Norton, 1986), 161-75; 194-217; 225-7; 234-47.

-Heilbroner, *Worldly Philosophers* (henceforth WP), Ch. 3 (recommended)

January 26: Keynes—*The Instability of Capitalism and the Need for Government Intervention*
-Keynes, *The General Theory of Employment, Interest and Money*. New York: Harcourt
Brace, 1940), Chs. 1-2, 5, 10, 12, 18
-Heilbroner, WP, Ch. 9 (recommended)

Weeks III-IV: The Tension between States and Markets

January 31: Documentary Film—*The Commanding Heights (Part I)*

February 2: Hayek—*The Critique of the State as the Arbiter of Social Outcomes*
-Friedrich Hayek, *The Road to Serfdom*. Chicago: University of Chicago, 1972, “Introduction,”
Chs. 1-3, 7, 14

February 9: Polanyi—*The Critique of the Market as the Arbiter of Social Outcomes*
-Karl Polanyi, *The Great Transformation*. Boston: Beacon Hill, 1957, Chs. 1, 3, 6-7, 12, 18, 20-
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Weeks IV-V: Realist Theories

February 14: Mercantilism and Economic Nationalism

-B & V, Ch. 3
-Friedrich List, *The National System of Political Economy*. New York: Kelley, 1966, Chs. 12,
14-15, 17, 36.
-David Levi-Faure, “Friedrich List and the Political Economy of the Nation State,” *Review of
International Political Economy* 4(1) (Spring 1997), 154-178.
-Christine Margerum Harlen, “A Reappraisal of Classical Economic Nationalism and Economic
Liberalism,” *International Studies Quarterly* 43(4) (Dec. 1999.) (recommended)

February 16: Hegemonic Stability Theory

-Cohn, *Global Political Economy*, pp. 61-8.

-Robert Gilpin, “The Politics of Transnational Economic Relations,” in R. Keohane and J. Nye
eds., *Transnational Relations and World Politics*. Cambridge, MA: Harvard University Press,
1972.
-Duncan Snidal, “The Limits of Hegemonic Stability Theory,” *International Organization*
39(4)(1985), 579-614.
-Michael Webb and Steven Krasner, “Hegemonic Stability Theory: An Empirical Assessment,”
Review of International Studies 15 (Spring 1989), pp. 183-198. (recommended)

Weeks V-VI: Structural Theories of IPE

February 21: Marx—*The Surplus Labor Theory of Value and the Crisis of Capitalism*

-Karl Marx, “Capital, Volume One” in *The Marx-Engels Reader* Robert C. Tucker, ed.
(New York: Norton, 1972/1978), pp. 302-19; 336-61; 376-84; 403-11; 417-31; 436-38.
-Heilbroner, WP, Ch. 6 (recommended)

February 23: *Internationalizing Marx and the Historical Structuralist Perspective*
(Mid-Term Essay Question Handed Out)

- B&V, 69-78.
- Lenin "The Highest Stage of Capitalism" in *The New Imperialism* Harrison Wright, ed.
- Fernando Henrique Cardoso, "Dependency and Development in Latin America," *New Left Review* 74, pp. 83-93.

ISSUE AREAS

Week VI – VIII: Monetary Relations

February 28: *History of the International Monetary System: The Emergence of the Global Financial System and the Classical Gold Standard*

-Cohn, pp. 131-39.

-Barry Eichengreen, *Globalizing Capital: A History of the International Monetary System* (Princeton: Princeton University Press, 1999), Ch. 2.

March 2: *The Interwar Monetary System and Bretton Woods (Mid-Term Essay Due)*

-Eichengreen, *Globalizing Capital*, Chs.3-4.

-John Ruggie, "International Regimes, Transactions, and Change: Embedded Liberalism in the Postwar Economic Order," *International Organizations* 36(2) (1982), pp. 379-415 (recommended)

March 7: *The Collapse of Bretton Woods and the Movement towards Monetary Integration*

-Eichengreen, *Globalizing Capital*, Chs. 5-6

-David Calleo and Susan Strange, "Money and World Politics," in Susan Strange, ed., *Pathways to International Political Economy* (London: Allen & Unwin, 1984)

-Benjamin Cohen, "Are Monetary Unions Inevitable?" *International Studies Perspectives* 4(3) (August 2003)

-C. Fred Bergsten, "America and Europe: Clash of the Titans?" *Foreign Affairs* 78(2) (1999) (recommended)

Weeks VIII - X: Debt & Financial Crisis

March 9: *From the End of Bretton Woods to the 1980's Debt Crisis and the 1990's Asian Crisis*

-Cohn, pp. 341-371

-Stephan Haggard and Sylvia Maxfield, "The Political Economy of Financial Internationalization in the Developing World," *International Organization* 50:1 (Winter 1996)

-Jagdish Bhagwati, "The Capital Myth: The Difference between Trade in Widgets and Dollars," *Foreign Affairs* 77(3) (May/June 1998)

March 14: Documentary Film—"Inside Job"

March 16: *Financial Crisis in the New Century I—The 2008 Financial Meltdown*

-Eichengreen, "Brave New Monetary World," *Globalizing Capital*, 2008 ed., Ch. 6.

-Robert Solow, "How to Understand the Disaster," *The New York Review of Books*. 56:8 (May 14, 2009)

-Niall Ferguson, "Wall Street Lays Another Egg," *Vanity Fair* (December 2008)

- Simon Johnson, "The Quiet Coup," *The Atlantic*. May 2009
- Barry Eichengreen, "The Last Temptation of Risk," *The National Interest*. (May/June, 2009)

March 21: Financial Crisis in the New Century II—The European Sovereign Debt Crisis

- Hans-Werner Sinn, "Rescuing Europe," *CIS-IFO Forum* Volume 11 (August 2010).
- Paul Krugman, "Can Europe be Saved?" *The New York Times Magazine*, January 12, 2011.
- Matthias Matthijs and Mark Blyth, "Introduction: The Future of the Euro and the Politics of Embedded Currency Areas" in *The Future of the Euro*. New York: Oxford University Press, 2015, pp. 1-20.

Weeks XI – XII: Trade Relations

March 23: Theoretical Foundations of the Political Economy of Free Trade

- B&V, Ch. 6 OR **Cohn, 168-71.**
- David Ricardo, "On the Principles of Political Economy and Taxation," in *The Works and Correspondence of David Ricardo*. Vol. 1. Ed. P. Sraffa. Reprint. Indianapolis: Liberty Fund, 2004, Chs. 7, 22.
- Frieden and Lake eds, 4th edition. *International Political Economy*, Chs. 20-21

March 28: The World Trading System from 1840-1947

- Stephen Krasner, "State Power and the Structure of International Trade," *World Politics* April, 1976 (28:3)
- Charles Kindleberger, *The World in Depression 1929-1939* (Berkeley: University of California Press, 1973), Ch. 4, pp. 123-7; 136-41; 188-90; 224-31; 242-5; 276-81; 288-92.

March 30: The World Trading System from 1947 to 1994 and the Case of NAFTA

- Cohn, 172-180, 209-222, 229-234**
- William Thorbecke and Christian Eigen-Zucchi, "Did NAFTA Cause a 'Giant Sucking Sound?'" *Journal of Labor Research* 23(4) (Fall 2002)
- Ricardo Grinspun and Robert Kreklewich, "Consolidating Neoliberal Reforms: 'Free Trade' as a Conditioning Framework," *Studies in Political Economy* 43 (Spring 1994)
- Gerald K. Heilleiner, "Considering U.S.-Mexico Free Trade," in R. Grinspun and M. Cameron, eds. *The Political Economy of North American Free Trade*. Montreal: McGill-Queen's University Press, 1993.

April 4: The World Trading System from 1994 to the present

- Cohn, 180-198.**
- Frieden and Lake eds. Chapter, Ch. 24.
- Christopher Hayes, "Free Traitors" *The New Republic*. Oct. 8, 2008. Download at: <http://www.tnr.com/politics/story.html?id=3b1abc81-8d49-4641-b3c1-77f378b7a443>
- Lori Wallach, "Obama's Choice," *The Nation*. Dec. 21, 2009.

Weeks XIII – XIV: Globalization & Multi-National Corporations

April 6: Globalization Defined and Debated

- Thomas Friedman, *The World is Flat: A Brief History of the Twenty First Century*. New York: Farrar, Strauss and Giroux, 2005, Chs. 1, 3, 14
- William Greider, *One World, Ready or Not: The Manic Logic of Global Capitalism*. New York: Simon and Schuster, 1997, Chs. 1-3
- John Gray, "The World is Round," *New York Review of Books* 52(13) (Aug. 11, 2005)
- Martin Wolf, "Will the Nation-State Survive Globalization?" *Foreign Affairs* 84:1 (Jan/Feb 2001) (recommended)

April 18: Documentary Film—"The Corporation"

April 20: MNC's in a Globalized World

- B&V, Ch. 17 OR Cohn, Ch. 9
- Jay Mazur, "Labor's New Internationalism," *Foreign Affairs* 79:1 (Jan/Feb 2000)
- Daniel Drezner, "The Outsourcing Bogeyman," *Foreign Affairs* 83:3 (May/June 2004)
- Case Study: "The Impact of Intel in Costa Rica" (recommended).
http://www.fdi.net/documents/WorldBank?databases/investing_in_development/intelcr/

Week XIV and XV: International Development

April 25: Strategies of Development

- Cohn, Ch. 10 OR B&V, Ch. 15
- Alexander Gerschenkron, *Economic Backwardness in Historical Perspective*. Cambridge, MA: Belknap, 1966, pp. 5-30.
- John Gray, "The Triumphalist," *The New Republic* (Dec. 1, 2011), pp. 22-6
- Albert O. Hirschman, "The Political Economy of Import-Substitution Industrialization in Latin America," *Quarterly Journal of Economics* 82(1) (Feb. 1968), pp. 1-32. (recommended)

April 27: Trade and Development

- Martin Wolf, "Two-Edged Sword: Demands of Developing Countries and the Trading System," in Bhagwati and Ruggie, eds. *Power, Passions, and Purpose: Prospects for North-South Negotiations* (Cambridge, MA: MIT Press, 1984)
- Ha-Joon Chang, *Kicking Away the Ladder: Development Strategy in Historical Perspective*, Ch. 2.
- Ian Bremmer, "State Capitalism Comes of Age," *Foreign Affairs* (May/June 2009)
- "Special Report: State Capitalism," *The Economist* (Jan. 21, 2012), pp. 3-17.

May 2: The Debate over Foreign Aid and Development

- Nancy Birdsall et. al., "How to Help Poor Countries," *Foreign Affairs* 84:4 (Jul/Aug 2005)
- William Easterly, "Debt Relief," *Foreign Policy* 127 (December 2001)
- Randall Stone, "The Political Economy of IMF Lending in Africa," *American Political Science Review* 98(4) (2004)

Weeks XVI- XVII: Energy Markets and the Environment

May 4: Documentary Film—The Commanding Heights (Part II)

May 9: No Class—Conference Obligation

May 11: The International Energy System

- Joan Spero and Jeffrey Hart, *The Politics of International Economic Relations*, Ch. 9.
- David Victor and Linda Yueh, "The New Energy Order." *Foreign Affairs* 89(1) (2010), pp. 61-73.

-May 16: The Political Economy of the Environment

- B&V, Ch. 20.
- “Executive Summary,” *Stern Review: The Economics of Climate Change*. (London: Chancellor of the Exchequer, 2006.) pp. i-xxvii.
- John Browne, “Beyond Kyoto,” *Foreign Affairs* 83:4 (Jul/Aug 2004.)
- The Economist*, “Climate Change: Can China Clean Up Fast Enough?” and “China and the Environment: The East Is Grey,” August 10, 2013, pp. 9, 18-21.

Week XVII: Conclusion

May 18: Whereto from Here? The Future of the Global Political Economy

- B&V, Ch. 21
- Robert Altman, “The Great Crash, 2008: A Geopolitical Setback for the West,” *Foreign Affairs* (January/February 2009)
- Aadita Mattoo and Arvind Subramanian, “From Doha to the Next Bretton Woods: A New Multilateral Trade Agenda,” *Foreign Affairs* (January/February 2009)
- Sherle Schwenninger, “Redoing Globalization,” *The Nation* (January 12, 2009)
- Nicholas Stern, “Economists’ Forum: Re-casting the international financial institutions,” *Financial Times* [online.] March 30, 2009. Available from:
<http://blogs.ft.com/economistsforum/2009/03/re-casting-the-international-financial-institutions/#>